

DEBT & EQUITY

Harlem Condo Loan Shows Private Credit Is Betting on Supply Scarcity, Not Demand

SCALE Lending's \$45M construction financing reveals where private debt sees pricing power: locked-up for-sale inventory.

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A source-grounded Light Tower Insight.

A \$45 million construction loan for a 72-unit condo in Harlem is not a bet on New York City demand. It is a bet on the absence of supply.

SCALE Lending, the debt arm of Slate Property Group, announced the financing this week for Mass Development's ground-up project at 264-272 West 135th Street. The building will deliver studio to three-bedroom condos, half with balconies, plus 12,000 square feet of retail and a 15,000-square-foot community space already leased to a daycare operator. Completion is slated for summer 2028.

The loan carries a floating rate for 30 months with two six-month extension options. Arrow Real Estate Advisors arranged the debt.

Martin Nussbaum, Slate's co-founder, framed the thesis explicitly: "Harlem is one of the most supply-constrained condo markets in New York City, with no new project of comparable scale or quality delivering in years, and the pipeline remaining effectively empty."

That is not marketing copy. It is the underwriting logic.

Private credit lenders like SCALE are not competing with banks on rate. They are competing on speed, structure, and tolerance for construction risk in submarkets where the for-sale pipeline has been choked off by high hard costs, expensive mezzanine debt, and a two-year transaction freeze that killed condo pre-sales. A lender willing to finance a ground-up condo today is making a concentrated wager that the scarcity premium will offset the execution risk.

The numbers support the logic but do not guarantee the outcome. The developer paid roughly \$9 million for the two parcels in June 2025. The total project cost, implied by a \$45 million construction loan, likely exceeds \$60 million with equity. That pencils only if finished condos trade at prices that clear the all-in basis plus a return on the equity. In a market where no comparable product has delivered in years, the comp set is thin. That is both the opportunity and the risk.

The floating-rate structure matters. A 30-month initial term with two six-month extensions gives the sponsor a 42-month window before the loan matures. The project is slated for completion in summer 2028, roughly 24 months from now. That leaves 18 months of cushion for lease-up and sales. If rates stay elevated or the sales pace disappoints, the extensions buy time but at a cost. Floating-rate construction debt in a 5 percent-plus SOFR environment means interest carry will be a material line item in the pro forma.

SCALE Lending is not a newcomer to this kind of trade. As the debt platform of Slate Property Group, it has been one of the more active private lenders in New York City construction finance since the regional bank pullback began in 2023. The firm has the balance sheet and the local market knowledge to underwrite projects that most bank credit committees would pass on. That is exactly what this loan represents: a bank-reject trade that a private lender can price for the risk.

The daycare lease is a smart structural detail. A 15,000-square-foot community facility leased to a credit tenant before construction starts provides a known income stream that can support the retail component of the capital stack. It also signals to future condo buyers that the building will have an amenity that matters to families. That is not a hedge against the condo market. It is a way to make the project more financeable and more marketable simultaneously.

The broader signal is about where private credit is deploying capital in 2026. It is not chasing office conversions or suburban build-to-rent. It is going into urban infill condo projects in supply-constrained submarkets where the for-sale pipeline has been empty for years. That is a thesis that depends on scarcity lasting long enough for the developer to deliver and sell. If the pipeline stays empty, the pricing power belongs to the sponsor. If new supply appears or demand softens, the lender's collateral is a half-built building in a market that may not clear.

For owners and developers watching this deal, the takeaway is not that Harlem condos are back. It is that private credit is willing to finance construction when the scarcity argument is defensible and the sponsor has a credible plan. The constraint that changed is not demand. It is the availability of capital for projects that banks will not touch. That capital is available, but it

is expensive, floating, and structured for a specific window of time.

The market should test whether this loan is the first of many or an outlier. If other private lenders follow SCALE into for-sale construction in supply-constrained urban submarkets, the condo pipeline may finally start to move. If this remains a one-off, it will be remembered as a trade that worked for the lender and the sponsor but did not change the broader financing landscape.

Either way, the loan is not a vote of confidence in the New York City condo buyer. It is a vote of confidence in the absence of competition.